

The Political Economy of East Asia

(BPEP-SHU 9042)

Monday & Wednesday
3:45 pm – 5:00 pm
Room N202

Instructor: JING QIAN



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HEAR
ME
ROAR
LANNISTER

Logistics

- QUIZ 2 Recap

After their experience with IMF programs during the Asian Financial Crisis,
many East Asian policymakers adopted the guiding principle

NEVER AGAIN

as the key lesson from that episode.

According to the assigned Trade Talk podcast, what is a key conceptual flaw in the Tariff Day formula for setting tariff rates?

- It treats all trading partners as having identical import elasticities and cost structures
- It assumes exchange-rate movements determine tariff effectiveness across all sectors in a uniform way
- It excludes trade in intermediate goods when computing tariff levels for each country
- It applies a single harmonized tariff schedule to both goods and services without distinction
- It ties tariffs mechanically to the bilateral deficit and assumes exports will not respond

Which combination best explains why early postwar East Asian economies transformed rapidly?

- Export orientation, foreign-capital dependence, early currency convertibility
- High initial savings, low inequality, minimal geopolitical involvement
- U.S. security backing, disciplined macroeconomic management, gradual global integration
- Import substitution, weak external linkages, reliance on resource exports
- Early democratization, strong labor unions, full trade liberalization

Logistics

- QUIZ 2 Recap
- Check your attendance record
 - Brightspace -> More Tools -> Attendance
- Midterm Participation Self Report
- Quiz 3 window updated:
 - **Start: Thursday, April 2 at 8am**
 - End: Monday, April 6 at 11:59pm
- Class plan next Wednesday



Let's continue

World's First Shuisi Building



Bell Tower



县城里还有一个巨大的钟楼

观视频

Pangu Village

盘古庄

空中俯瞰下去

马前卒
施工队

Pangu Village

真想到当年的活动现场看看

马前率
施工队

University City

独山大学城



观视频

100-well Building

百井楼



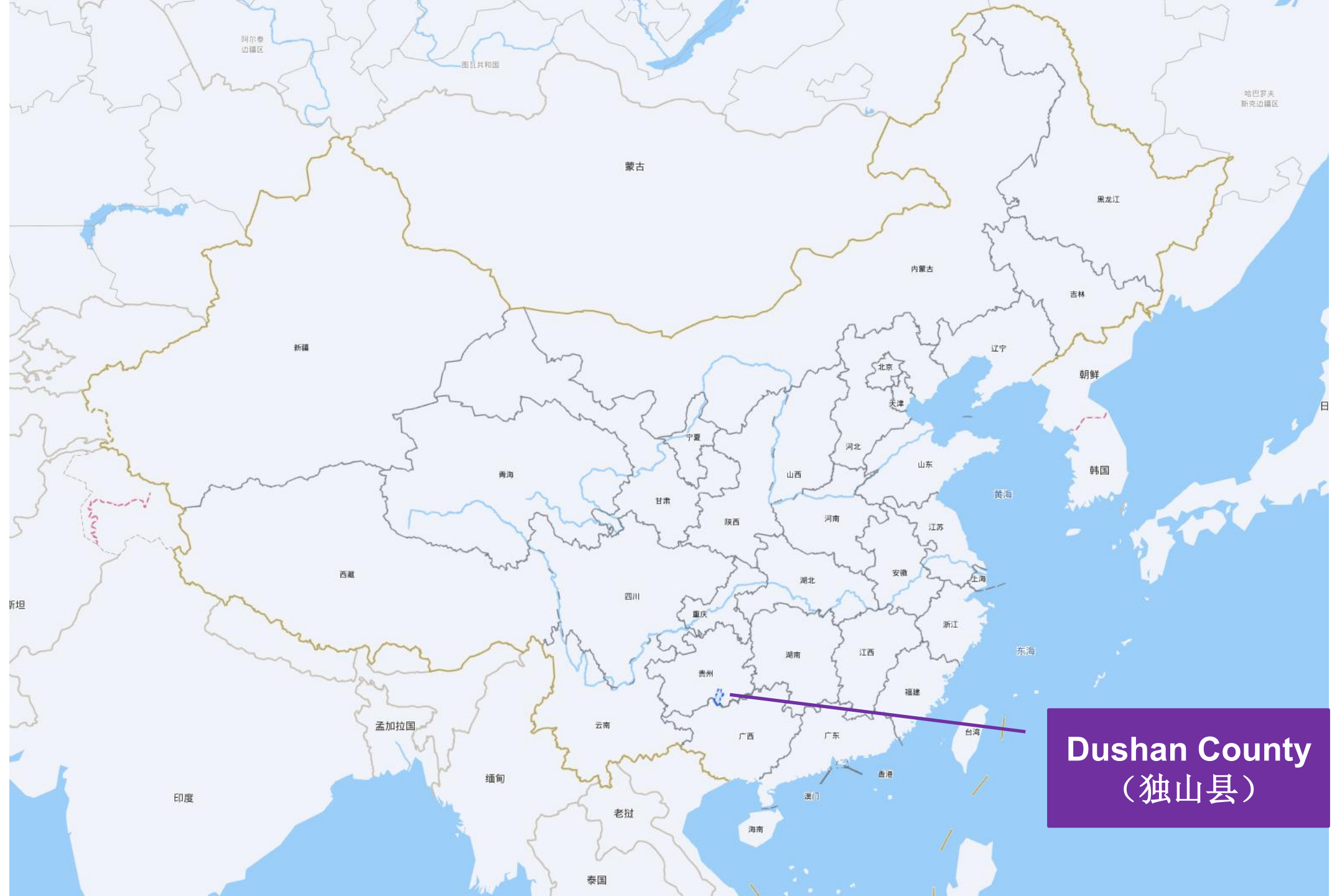
GUAN

Hong Kong Science Park

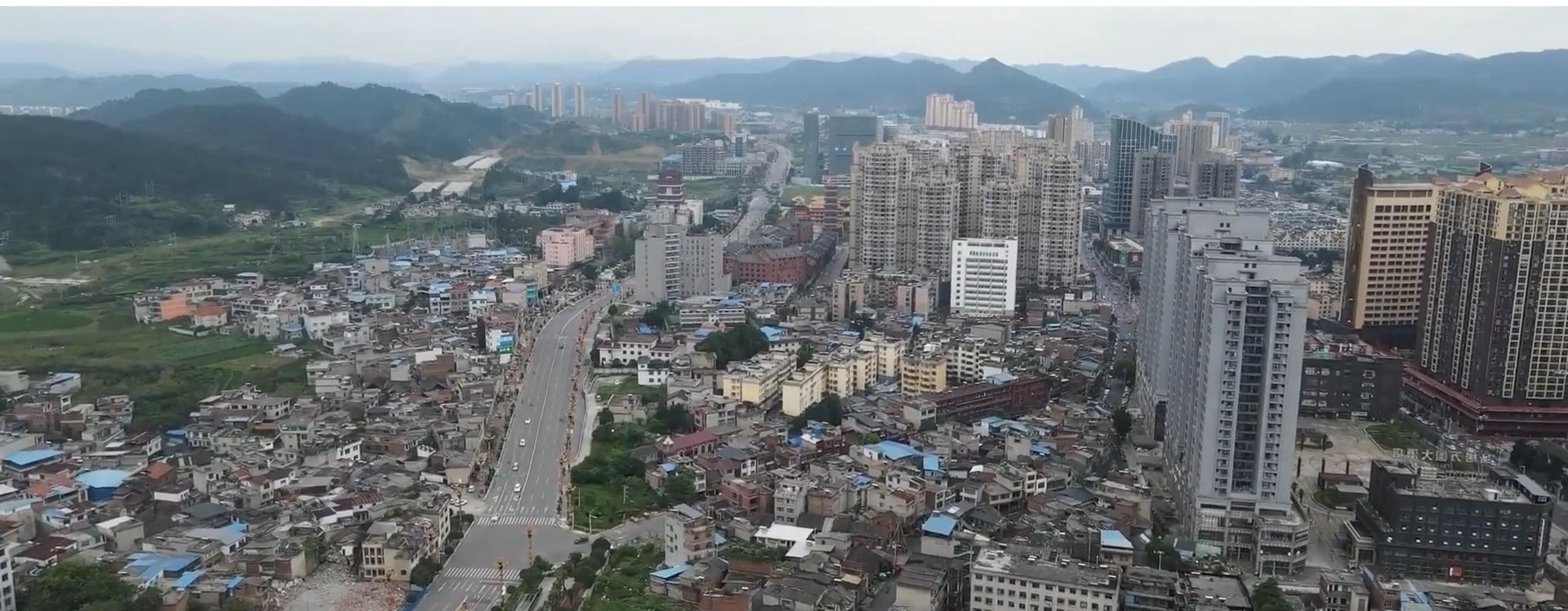


具体将来还可以搞什么科技我们不清楚

马前卒
施工队



Dushan County
(独山县)



Dushan County, Guizhou Province

Dushan County, Guizhou

- Land area: 2442.2km²
- Population: 353,700 (2022)
- GDP: 14.263 billion RMB
(2021, 47/88 in Guizhou Province)
- GDP per capita ~ 40,000 RMB
(~ Iraq/Guatemala)

Debt level in 2018: **≈ 40 billion RMB**

Avg. Interest Rate ≈ 10%

- Annual interest payment ≈ 4 billion

Annual fiscal revenue: ≈1 billion

Guizhou Province

- GDP: 2.3562 trillion RMB (22/31 in China)
- GDP per capita ~ 60,000 RMB
(28/31 in China, ~Armenia/Peru)

Shuisi Building
≈ 30 million USD

水司楼
造价花费：2亿



GUAN

Bell Tower
≈ 4 million USD

独山钟楼
预估造价：**3000万**

县城里还有一个巨大的钟楼

观视频

Pangu Village
≈ 800 million USD

盘古庄
预计造价：56.5亿

空中俯瞰下去

马前卒
施工队

University City
≈ 300 million USD

独山大学城
预估实际造价：20亿



观视频

100-well Building
14 million USD

百井楼
预计造价：1亿



GUAN

Hong Kong
Science Park
≈ 28 million USD

独山香港科技城
预计造价：2亿

具体将来还可以搞什么科技我们不清楚

马前卒
施工队

???

How did a poor county like Dushan build all these massive projects?

Where does the money come from?

Follow the money

Rudolf Goldscheid (echoed by Joseph Schumpeter):

“Budget is the skeleton of the state stripped of all misleading ideologies.”

Why the Fiscal System Matters

- **Funding public goods**
 - Fiscal constraints mean the constraints in providing public goods
- **Indicating real policy priorities**
 - Spending reveals what the state truly values, beyond rhetoric and slogans
- **Equity and redistribution**
 - A mechanism to adjust market outcomes through taxation, aid, and other transfers
- **Incentives for government behavior**
 - Organizations are accountable to whoever provides their revenues
 - “*no taxation, no accountability*” and the “*rentier state*” (resource curse)
- **State capacity**
 - Essential to what the state could achieve in serving public interests

China's Current Fiscal System

A partly standardized fiscal system at best, with significantly more expenditure decentralization than revenue decentralization:

- **Clear central-local tax-sharing arrangements established in 1994**
 - Transparent and rule-based in this aspect
- **No fiscal autonomy for subnational governments**
 - Taxation and revenue allocation remain highly centralized in Beijing
- **Local governments are not primarily funded by taxes**
 - Reliance on land revenue and indirect financing since the mid-2000s
 - A “half tax state”
- **Off-budget spending is common at the subnational level**
 - Softened budget constraint and rising local government debt
 - In China's 4-trillion economic stimulus, 70% financed off-budget
 - Provided background for “deleveraging” during 2015-2019

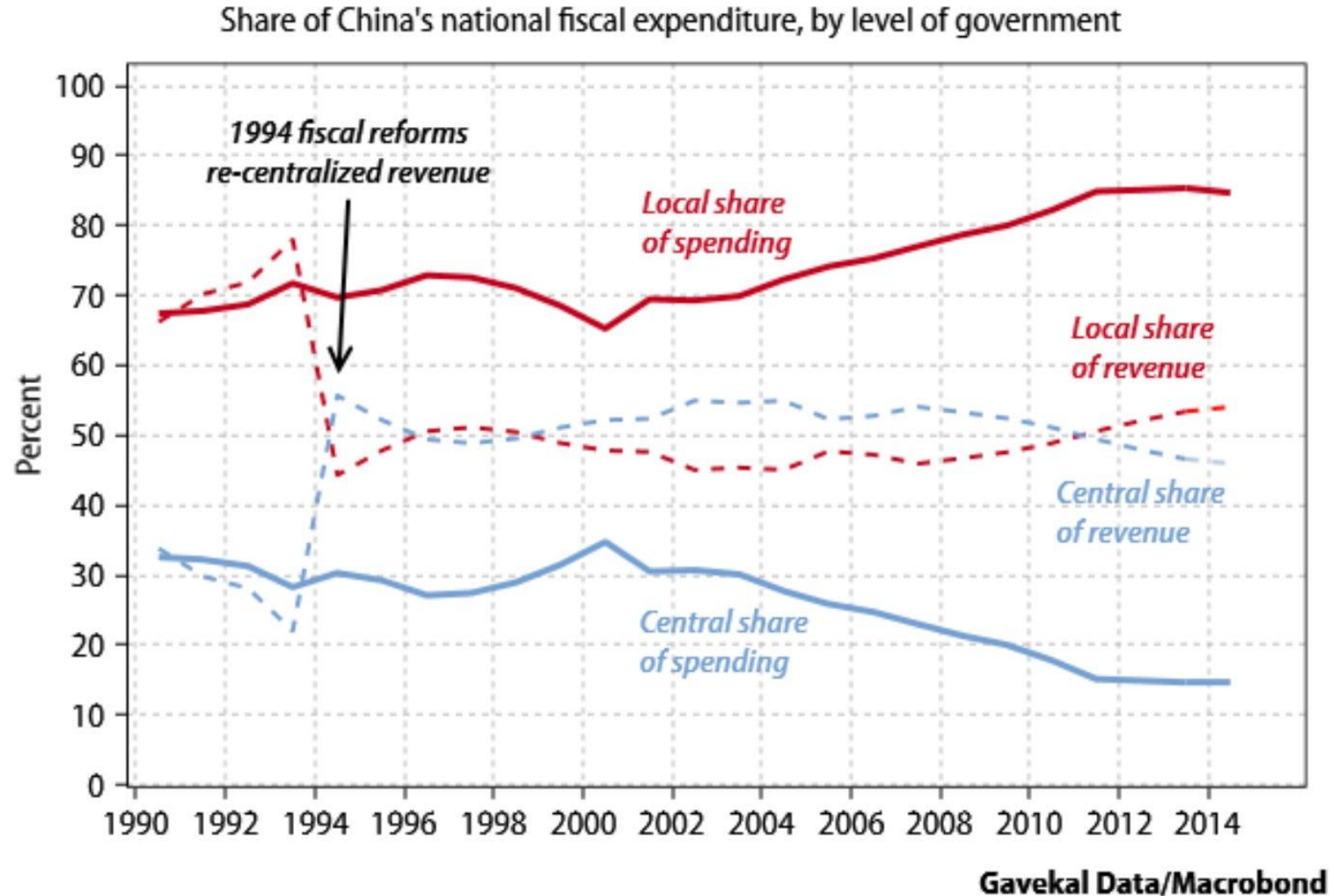
The Core Mismatch

- Local governments spend
- Central government controls revenue
- Gap between responsibility & resources

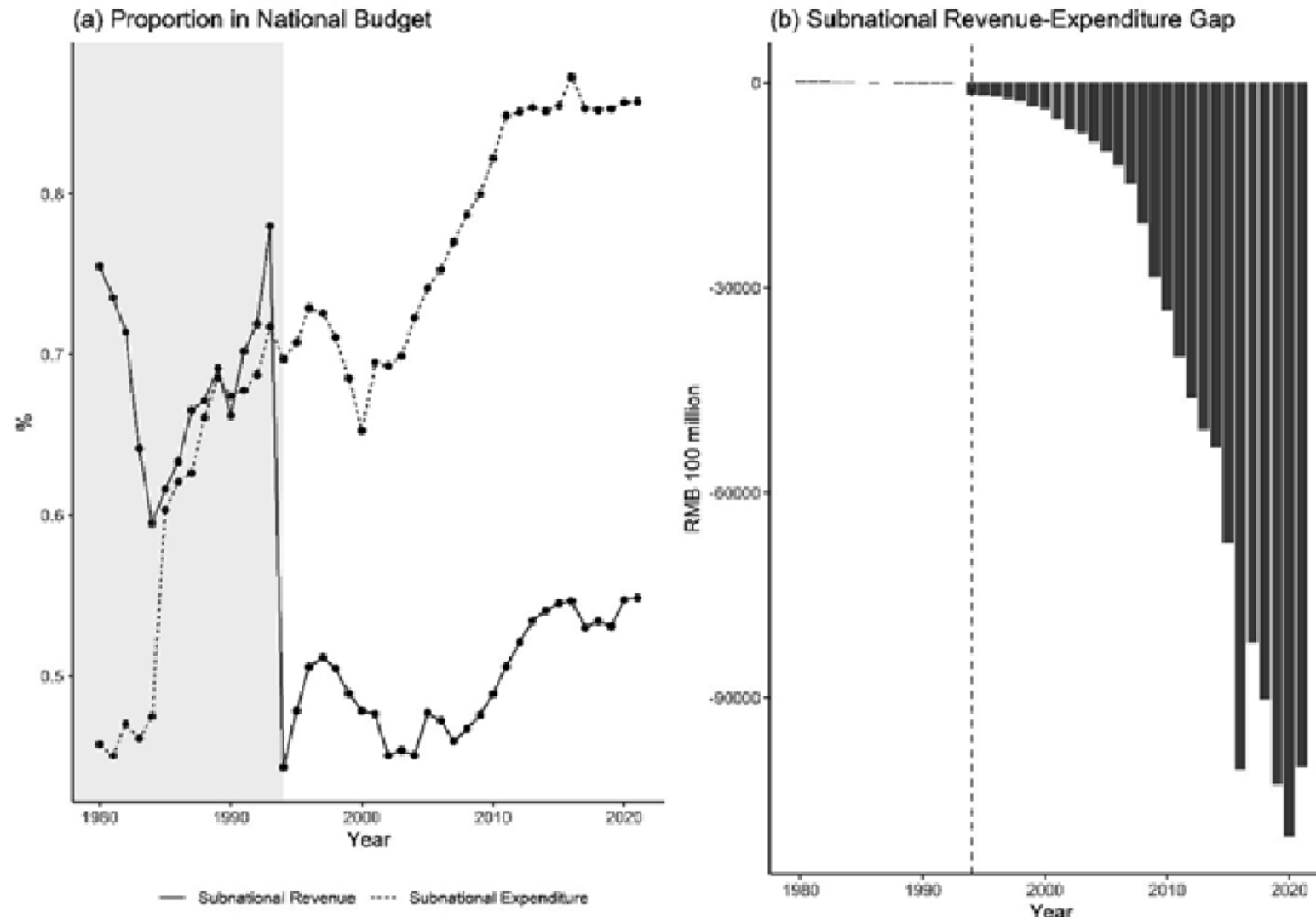
1994 Central-Local Tax-Sharing Arrangements

- From case-by-case negotiation-based revenue remittance to uniformly-applied tax-based system after 1994
 - No longer primarily reliant on SOEs
 - 17% value-added tax (VAT) and 33% profit tax introduced (along with other taxes)
- Central-local divisions in tax revenues
 - Consumption tax, customs duties, and most taxes on central SOEs to **central government**
 - Property-related tax, enterprise operation taxes (later re-categorized into VAT), direct taxes on local SOEs, and administrative levies to **subnational governments**
 - 75% VAT to central government, 25% to subnational governments
- Central bureaucracies control tax collection

More Revenues for the Central Government



Reversing Central-Local Fiscal Relations



Source: China Statistical Yearbooks and the Ministry of Finance of China.

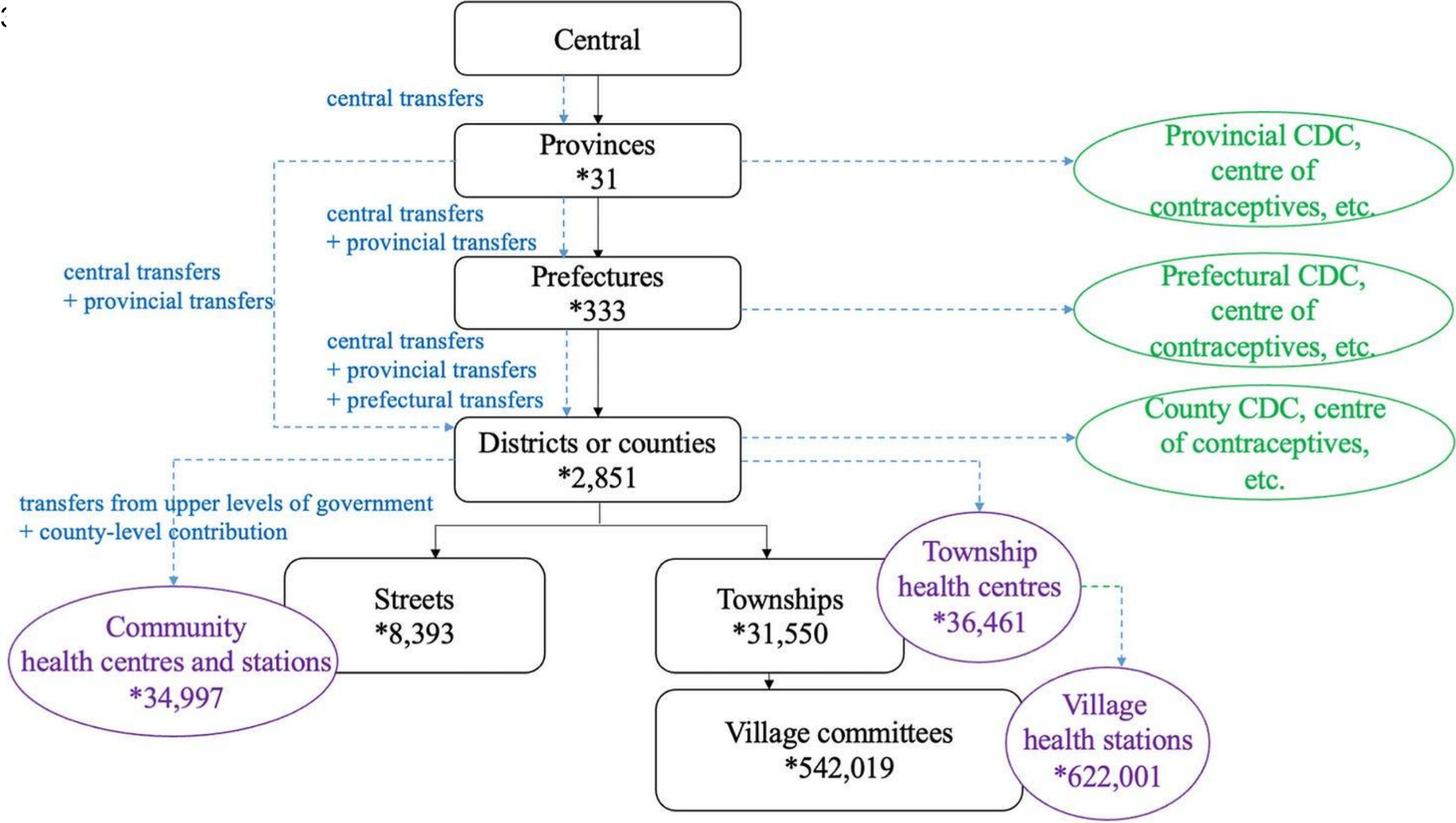
Figure source: He & Jing (2024)

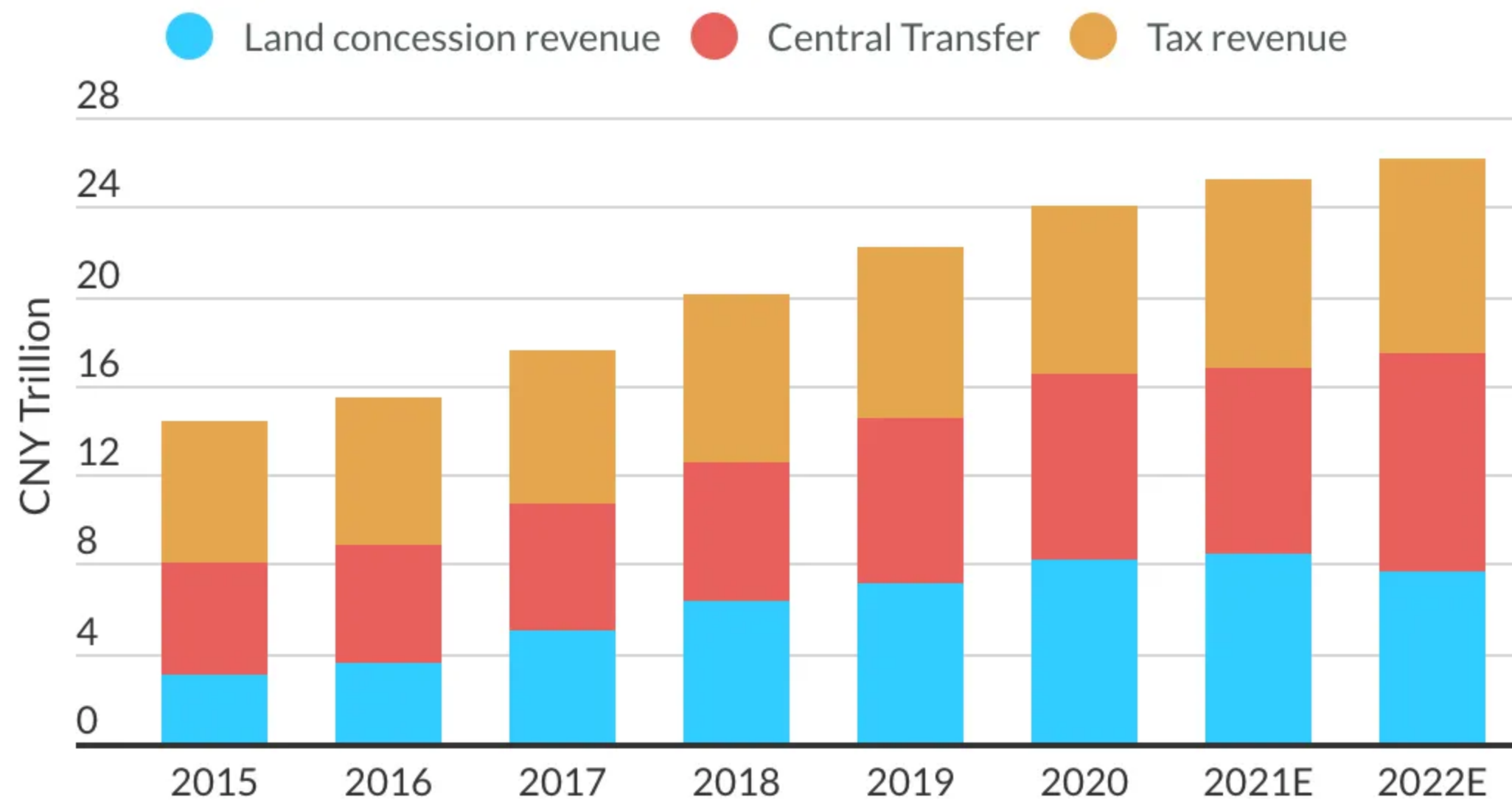
What the 1994 Reform Did

- Strengthened central state
- Reduced local fiscal autonomy
- Did NOT reduce local responsibilities

Local Government Revenue Sources

- Tax Revenue
- Fiscal Transfers
- Land Sales
- Borrowing***

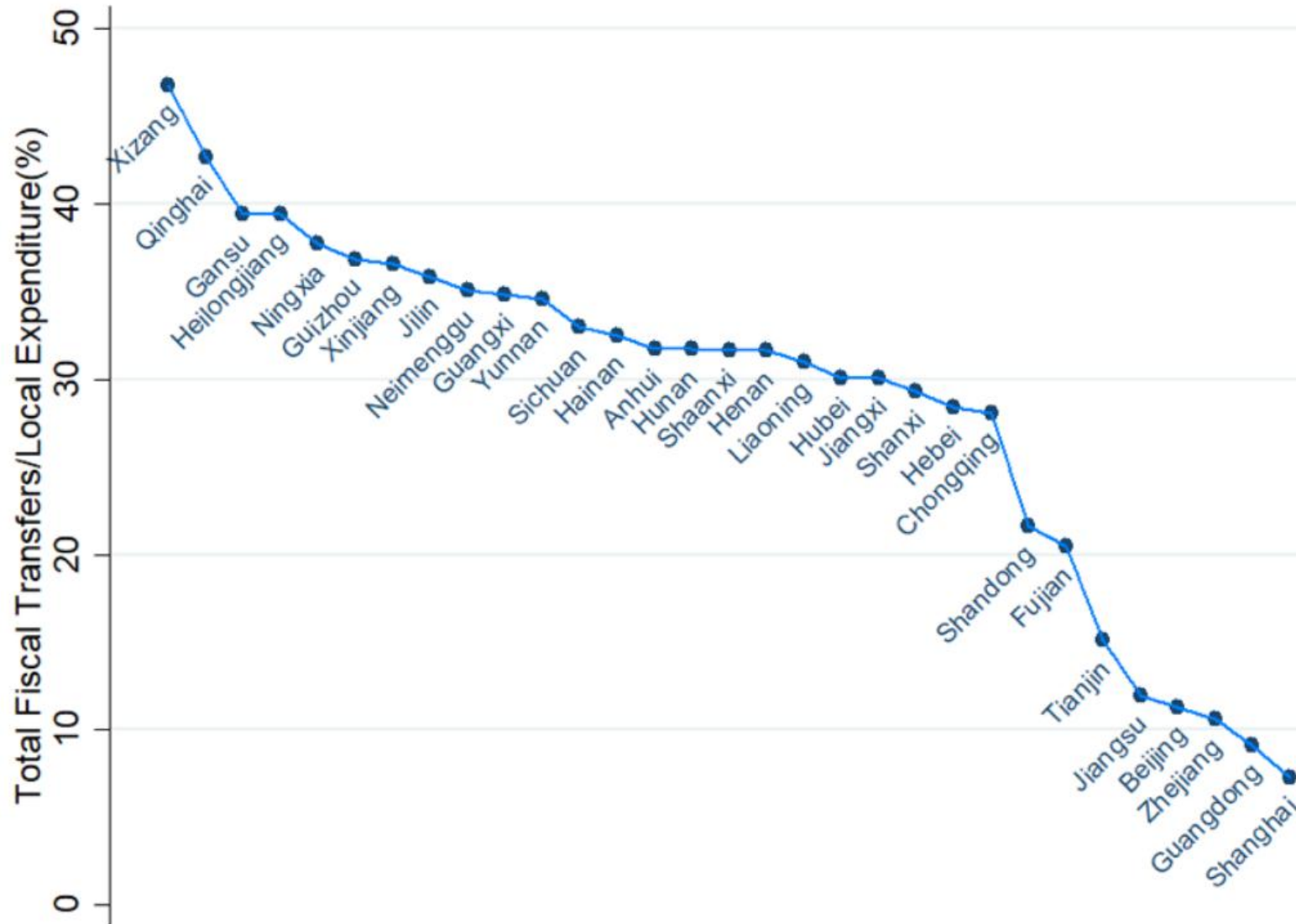




Fiscal Conditions of Local Governments

- Declining retainable tax revenue while continuing to be main providers of public services and local infrastructures
- No longer viable to direct borrow from SOBs (since 1994)
 - Previously helped enforce hard budget constraints for local governments
- Increasing dependence on central fiscal transfers
 - Strengthening the capacity and authority of the central government
 - Tax rebates + discretionary or earmarked transfers (redistributive)
- Greater negative impacts on lower-level governments
 - Mandated expenditures tend to be shifted downward
 - Townships eventually became “administrative shells,” especially after the abolishment of the agricultural tax in 2004

Less Developed Provinces Rely Heavily on Transfers (2018)



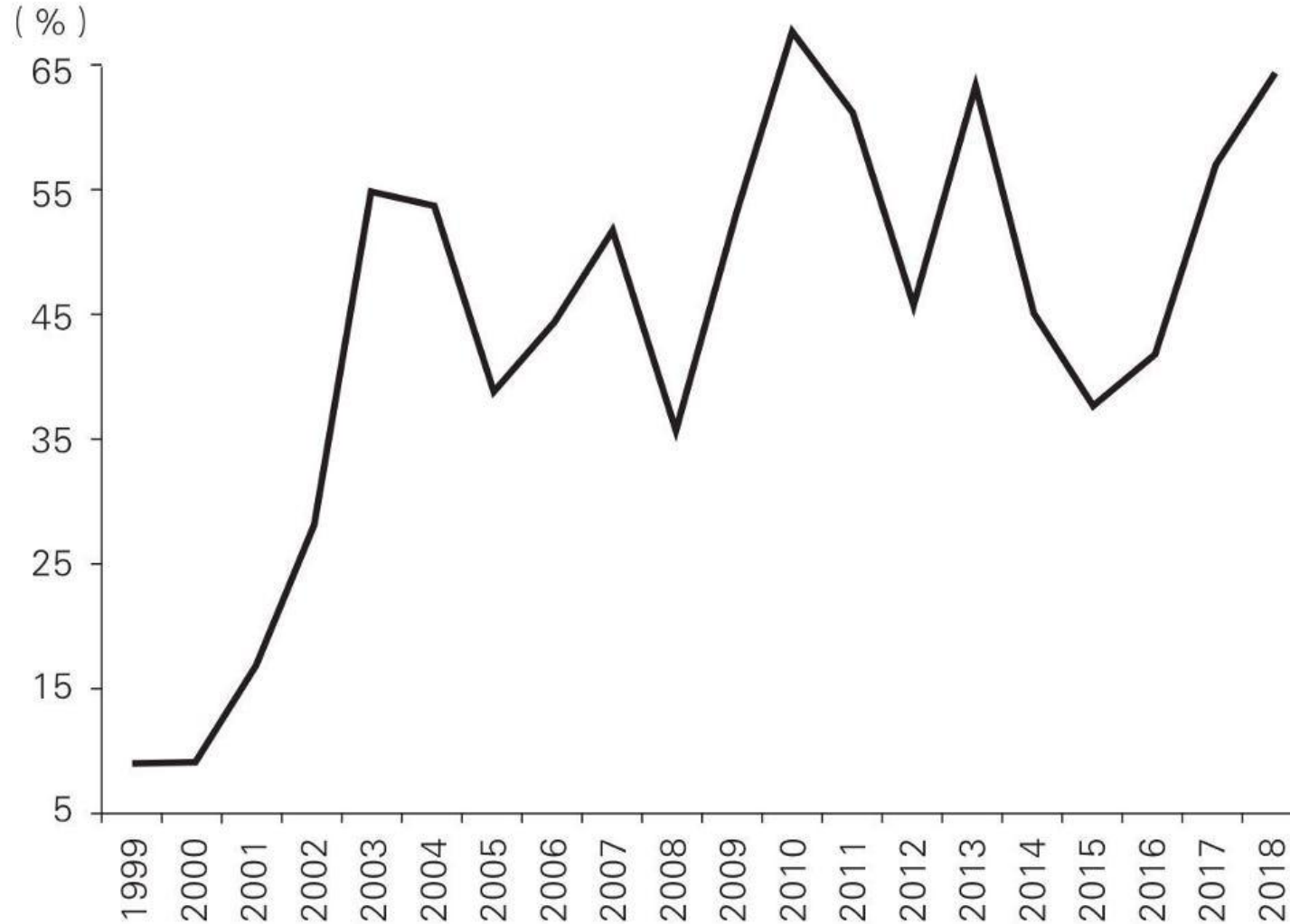
Local Governments Under Pressure

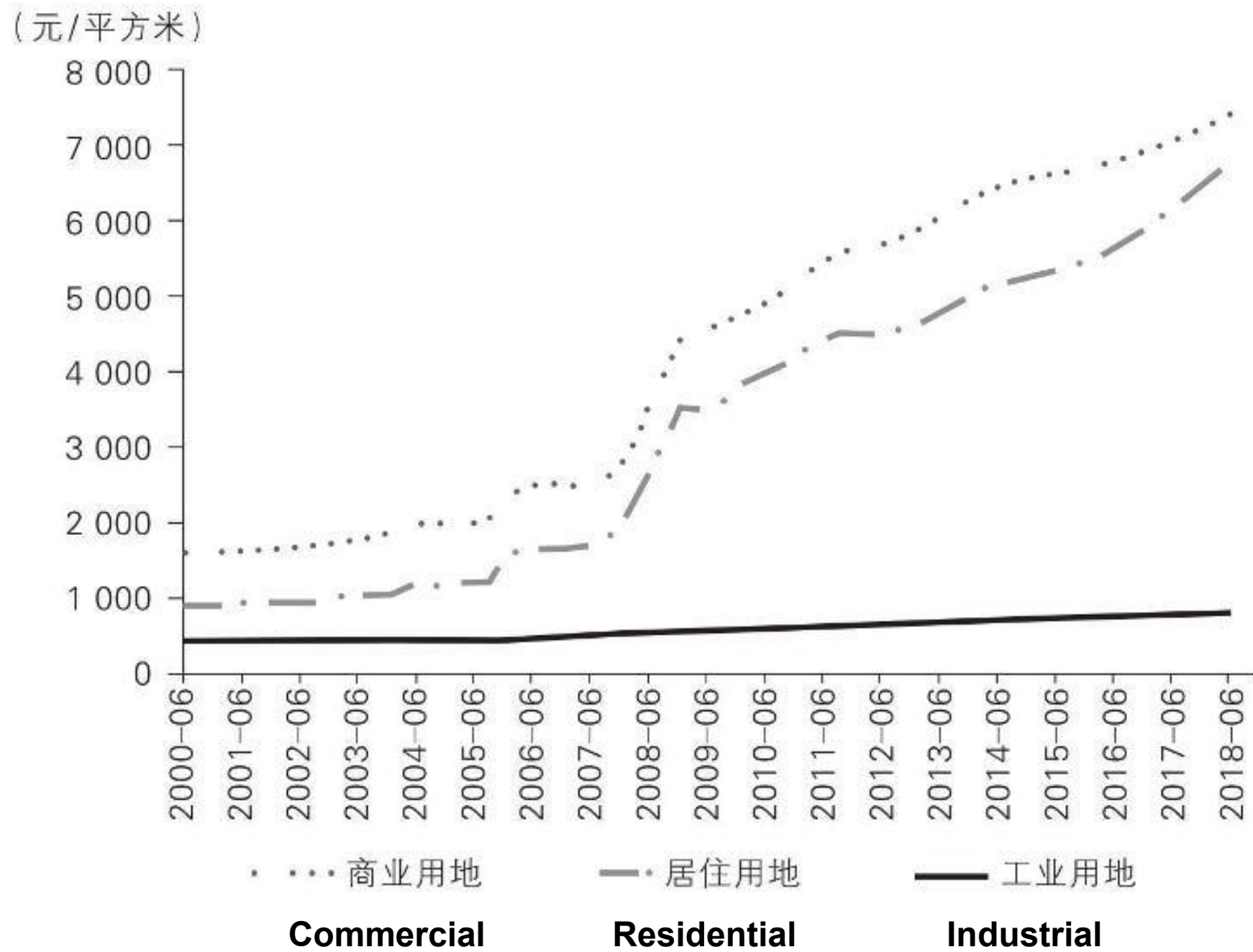
- High spending mandates
- Weak tax base
- Growth expectations

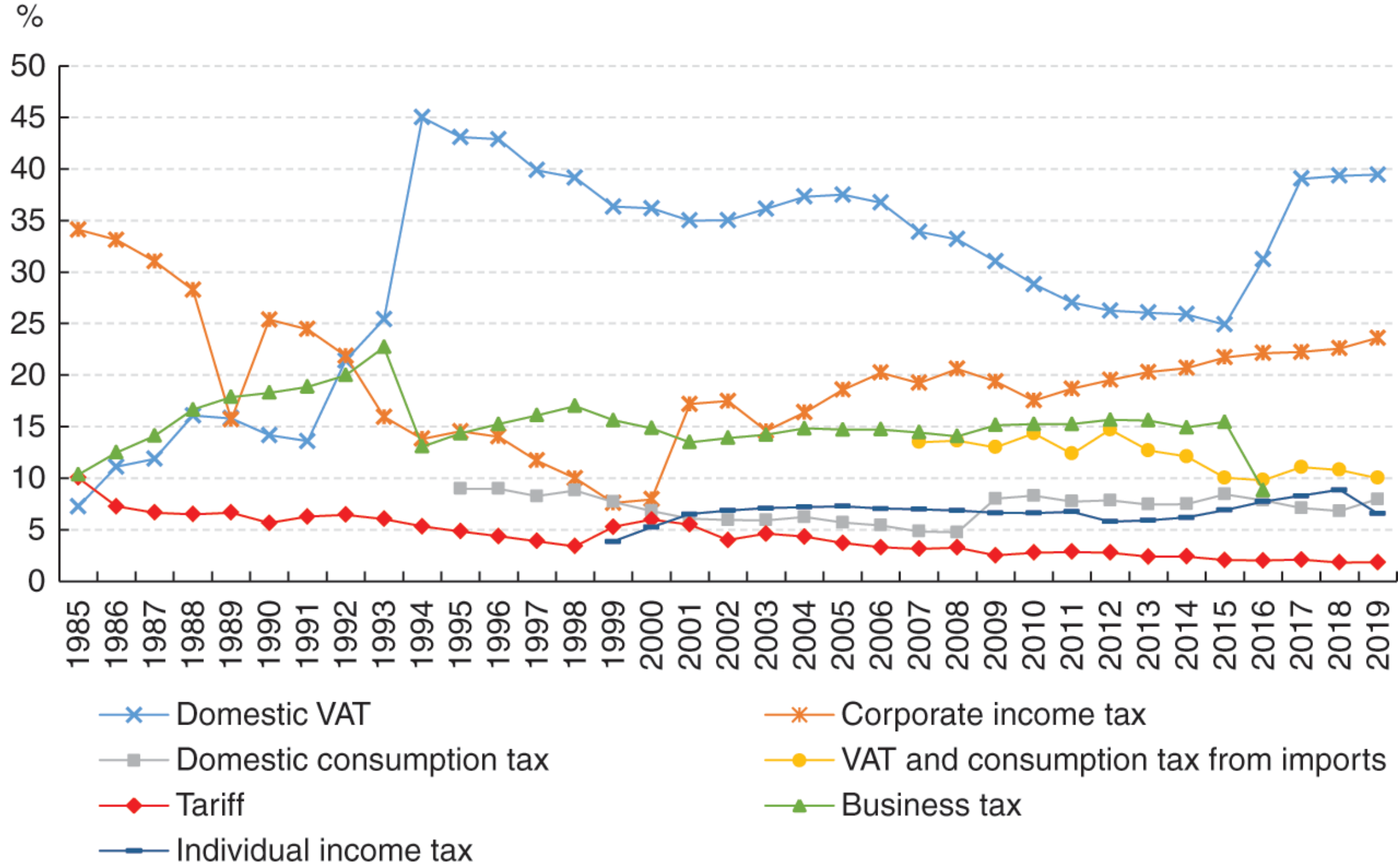
Land as a Fiscal Complement to Tax Revenue

- Urban land policy and ownership has been granted to local governments taking charge of the corresponding territory in the same period
 - Only governments can *legally* change rural/urban land status
 - Only governments can supply new urban land to urban users (a monopoly in the primary land market since 1998)
 - Designed partly as compensation for the loss of tax revenue
- Only land-use rights for fixed terms can be traded in primary and secondary markets
- Land transfers from the state to urban land users are regulated and subject to market competition (e.g., auction):
 - Commercial and residential land since 2002
 - Industrial land since 2006
 - But significant collusion and discretion persist

Proportion of state-owned land transfer revenue relative to local public budget revenue







Importance of Land to LGs

- Land lease fees (“land sales”) provide a lump-sum cash flow
- Obtaining bank loans and issuing bonds using local government financing vehicles (LGFVs)
 - land as collateral and LGFV’s most important assets
 - As a “back-door” path to soften budget constraints
- Using land as an incentive to attract investment
 - Investment in turn brings more tax revenue and add jobs
- Providing sites for strategic planning (e.g. development zones, new towns, university towns, and central business districts)
- Land development stimulates GDP growth
 - Previously contributing about 30% of the national GDP

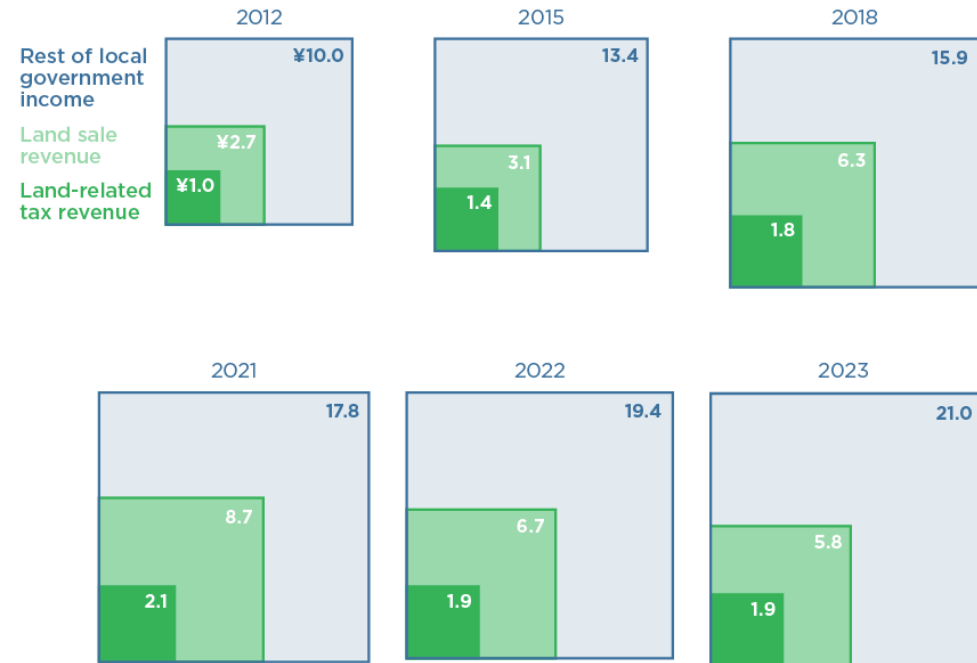
Land = Fiscal Engine

Land as:

- Revenue source
- Policy tool
- Growth driver

Chinese local governments' reliance on land revenue drops as the property downturn drags on

Land revenue in local government income, trillions of yuan, 2012–23



#PIIECharts

Learn more at piie.com/research/piie-charts



Design by
Nia Kitchin

Note: Aggregate local government revenue considered comprises General Public Budget Income, intergovernmental transfers, and Government Funds Budget Income. There are five land- and property-related taxes—property, urban land use, land value-added, farmland occupation, and deed transfer taxes—all of which are counted under General Public Budget Income. Land sale revenue is the most important component of Government Funds Budget Income.

Source: Tianlei Huang's Working Paper, *Why China's Housing Policies Have Failed*.

From Land to Borrowing

- Land revenue insufficient
- Need long-term financing
- Borrowing emerges

Off-Budget Borrowing

- LGFVs: Local Government Financing Vehicles
- Bank loans / bonds
- Land as collateral
- Implicit guarantees

Local Government Financing Vehicles

- **What are LGFVs?**
 - state-owned entities created by local governments;
 - used to finance infrastructure and urban development
- **How do they work?**
 - land → collateral
 - LGFVs → borrow from banks / issue bonds
 - funds → infrastructure, real estate, industrial projects
- **Why do they exist?**
 - limited local tax revenue; borrowing restrictions on local governments (esp. pre 2015)
 - need to sustain investment and growth
- **Key implications**
 - off-budget financing + implicit government guarantees
 - rising local debt & soft budget constraints

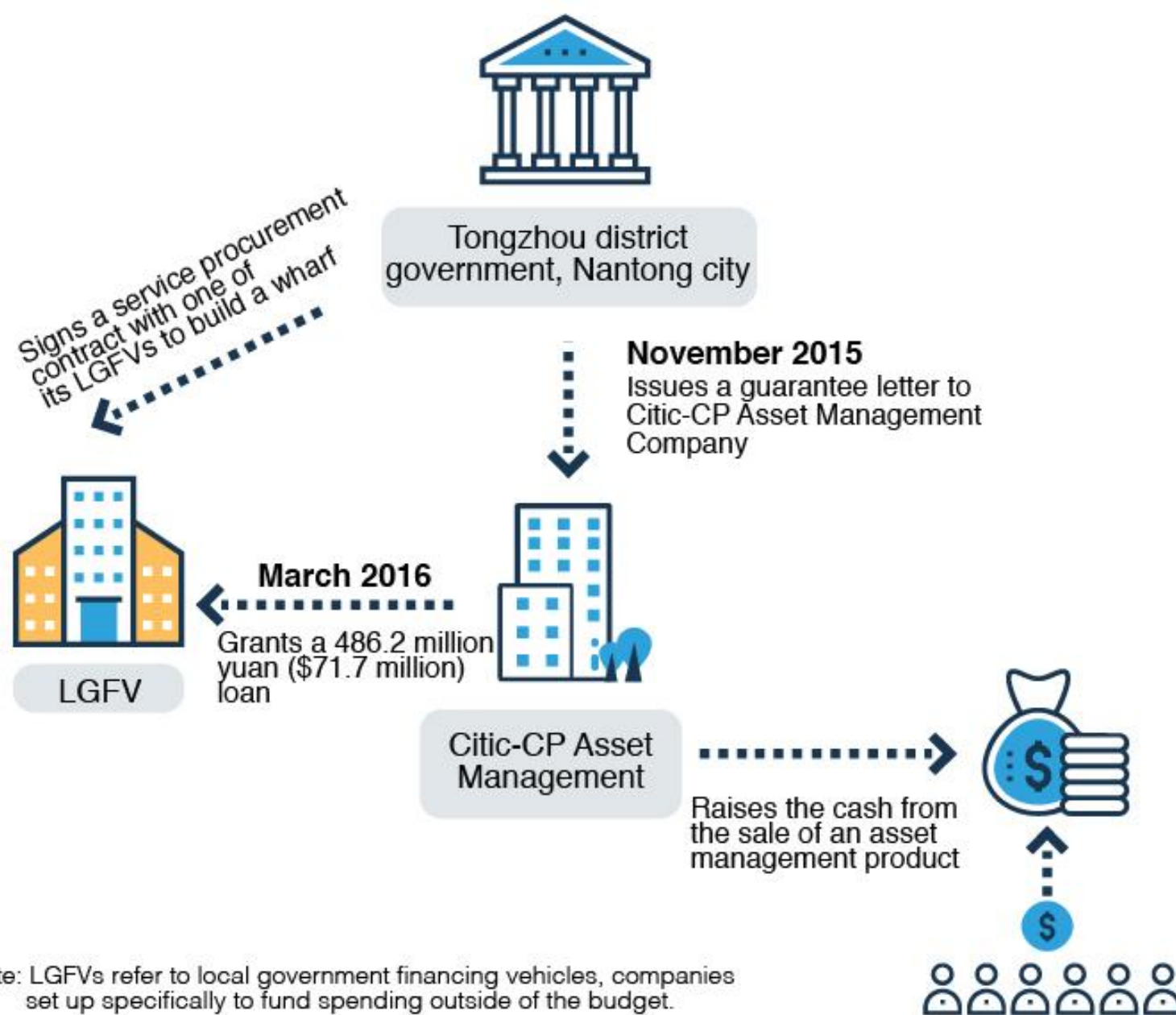


Table A1: Dushan County LGFVs and investee companies

LGFVs	Investee companies	Level II industry classifications
Dushan County State-owned Capital Operation Group Co., Ltd.	Dushan Tongyuan Real Estate Co., Ltd.	Real estate Industry
	Guizhou Dushan Rongtong Trading Co., Ltd.	Retail Industry
	Guizhou Southwest Smart City Development Co., Ltd.	Software and Information Technology Service Industry
	Guizhou Dushan Shengbao Investment Co., Ltd.	Business Service Industry
	Dushan County Chengxin Market Operation Co., Ltd.	Business Service Industry
	Guizhou Dushan Yisheng Health Care Development Co., Ltd.	Health industry
	Guizhou Communications Investment Traffic Safety Facilities Co., Ltd.	Wholesale industry
	Guizhou Difute Tea Industry Co., Ltd.	Liquor, beverage and refined tea manufacturing
	Guizhou Bainian Tiancheng Tourism Development Co., Ltd.	Business Service Industry
	Guizhou Dongfeng Antimony Industry Co., Ltd.	Non-ferrous metal mining and dressing industry
	Guizhou Gaoke Power Sales Co., Ltd.	Electricity and heat production and supply industry
	Dushan County Huinong Poverty Alleviation Industry Investment Development Co., Ltd.	Business Service Industry
	Dushan Wulian Ancient City Cultural Tourism Development Co., Ltd.	Business Service Industry
	Dushan County Ruifeng Land Resources Investment Development Co., Ltd.	Business Service Industry
	Dushan County Hengyun Municipal Project Investment Co., Ltd.	Social Security Industry
	Guizhou Dushandongfeng Food Industry Co., Ltd.	Food manufacturing Industry
	Dushan Precious Bank Precision Poverty Alleviation Fund Management Center (Limited Partnership)	Capital market services Industry
	Dushan County Material Supply Company	Retail Industry
Dushan County Chengxin Market Operation Co., Ltd.	Dushan Fumin Village Bank Co., Ltd.	Currency financial services Industry
	Guizhou Dushan Rural Commercial Bank Co., Ltd.	Capital market services Industry
	Dushan County Fuel Company	Wholesale industry
Dushan County Chengrong Financial Asset Management Co., Ltd.	Dushan County Yongcheng Park Construction Management Co., Ltd.	Civil Engineering Construction Industry
Guizhou Dushan Economic Development Zone Investment Development Co., Ltd.	Guizhou Zijin Center Building Construction Development Co., Ltd.	Business Service Industry
	Dushan Jingke Optoelectronic Information Material Co., Ltd.	Computer, communications and other electronic equipment manufacturing
	Dushan County State-owned Grain and Oil Trading Co., Ltd.	Wholesale industry
	Guizhou Jiaye Supply Chain Management Co., Ltd.	Retail Industry

The Fiscal-Real Estate Cycle

- Sell land
- Borrow against land
- Invest in construction
- Raise land value
- Repeat ...

What Could Go Wrong?

- Declining land sales
- Rising debt
- Real estate slowdown
- Fiscal stress

Back to Dushan: Why Build “Empty” Projects?

- Economic logic
 - Raise land value
 - Stimulate investment
- Fiscal logic
 - Increase land sale revenue
 - Unlock borrowing capacity
- Political logic
 - Visible development
 - Measurable GDP growth
- Time horizon logic
 - Benefits immediate
 - Risks delayed



Zhili Pan
(2010-2018)
12-year sentence



Yongkai You
(2018-2021)
10y6m sentence



Jingkuan Li
(2021-2025)
Expelled from
office and party

Shuisi Building -> Hotel



Holiday Villa Resort & Suites Zilin Mountain



Opened in 2025

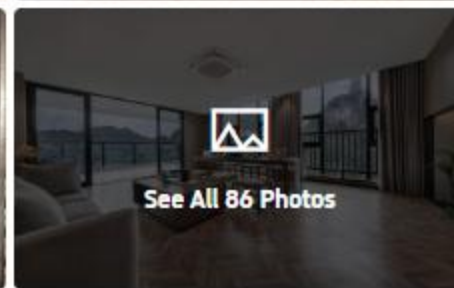
(Trip.Best) No. 1 of Premium Hotels in Dushan >

~~US\$ 53~~ **US\$ 49**

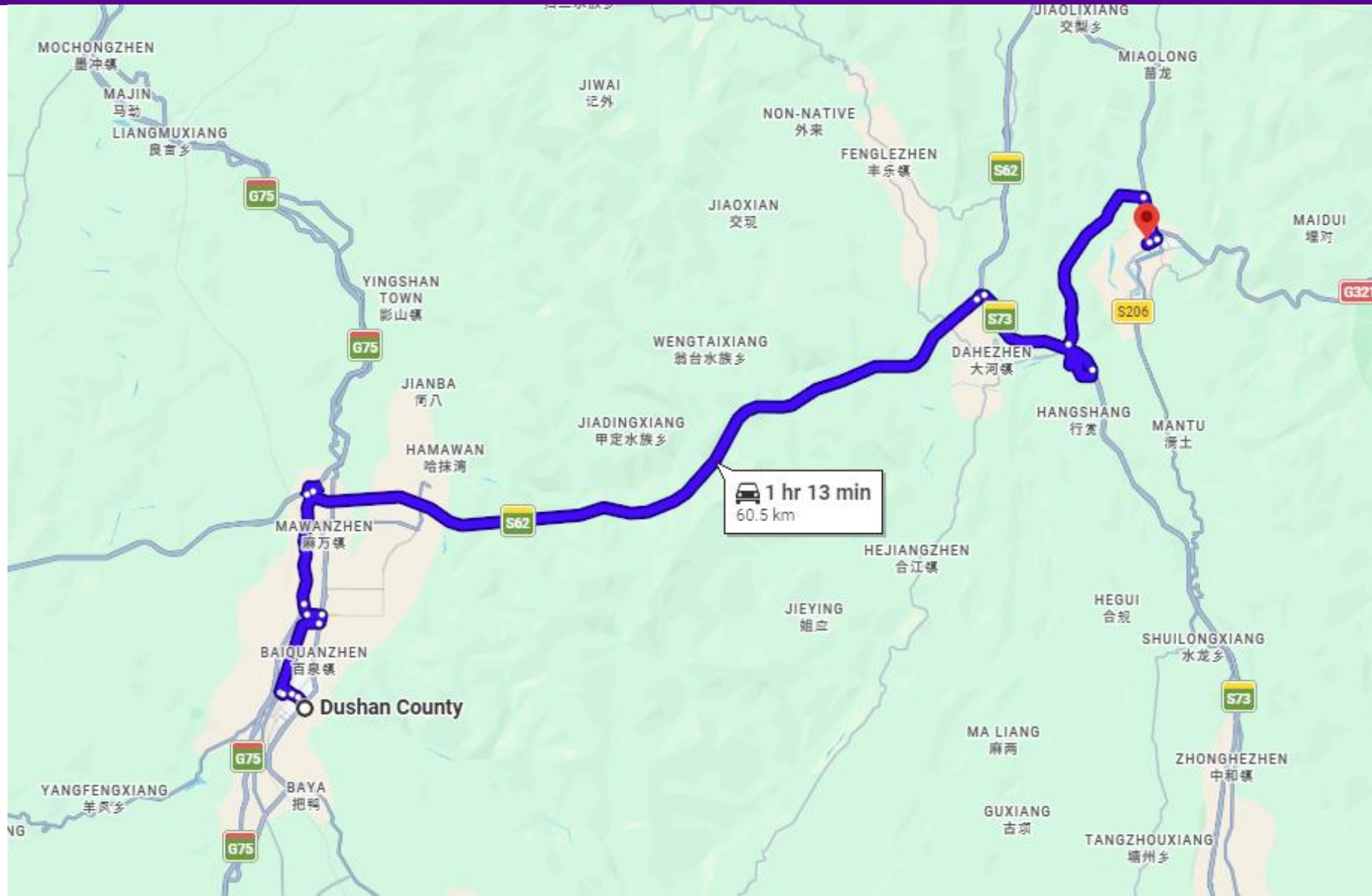
 [We Price Match](#)

Select Rooms

 890 meters north of Kuiwen Pavilion, Zilinshan Resort Area, Yingshan Town, Dushan [Show on map](#)



Dushan is Not an Exception



Racecourse
≈ 65 million USD

三都跑马场
预计造价：**4.5亿**

这是投资13.5亿的一个赛马场加大体育场

马前率
施工队

“Seventy-Two Lines”
≈ 115 million USD

七十二行
预计造价：8亿



GUAN

Area
≈ 128 million USD

三都民族竞技场
预计造价：9亿

这里可以看到一个很宏大的体育场

观视频

Thank You!

